

APPLEBY COURTYARD

15890 US Highway 59 N | Garrison, TX 75946

INVESTMENT UNDERWRITING & BUSINESS PLAN

Prepared for Investor Presentation | April 2026

OFFERING HIGHLIGHTS	
Property	Appleby Courtyard — 17 Units
Location	Garrison, TX (Nacogdoches County)
Year Built / Renovated	1983 / 2025
Total Rentable SF	13,016 SF
Asking Price	\$1,250,000 Negotiated Target: \$1,175,000
T12 Actual NOI	\$154,441
Going-In Cap Rate	11.0% at \$1.25M 11.7% at \$1.175M vs 8.5% Market
Day-1 Equity at \$1.25M	\$566,953
Day-1 Equity at \$1.175M	\$641,953
Occupancy (12/31/2025)	100% (17 of 17 units)
Exit Strategy	Cash-Out Refi at Year 2.5 — All 4 Scenarios

SECTION 1: PROPERTY OVERVIEW

PROPERTY DETAILS	
Address	15890 US Hwy 59 N, Garrison TX 75946
Property Type	Multifamily — 17 Units
Unit Mix	3x 1BD/1BA 1x 1BD/1BA All-Bills 7x 2BD/1BA 6x 2BD/1BA All-Bills
Buildings / Floors	2 Buildings / 2 Floors
Total Acreage	5.40 Acres (4.50 Acres Excess / Developable)
Parking	35 Spaces (2.06 per unit)
Current Occupancy	100% (as of 12/31/2025)
Management	Qanary Management LLC (current)
Water / Sewer	Aerobic Septic Owner Paid
Electric	Individual Meters Resident Paid (market units)
Laundry	On-Site Owned 3 Washers / 3 Dryers

UNIT MIX & RENT ROLL

Unit Type	Description	Count	Avg Rent	Monthly	Annual
1BD/1BA	Standard	3	\$867	\$2,600	\$31,200
1BD/1BA (AB)	All Bills Paid	1	\$1,000	\$1,000	\$12,000
2BD/1BA	Standard	7	\$986	\$6,900	\$82,800
2BD/1BA (AB)	All Bills Paid	6	\$1,100	\$6,600	\$79,200
TOTAL	17 Units	17	\$1,006	\$17,100	\$205,200

SECTION 2: MARKET ANALYSIS

Why This Market?

Appleby Courtyard is located in Garrison, TX — 10 miles from Nacogdoches, home to Stephen F. Austin State University (now part of the UT System). The property is the **ONLY** market-rate apartment complex within a 6-mile radius, creating a monopoly-like demand dynamic in a supply-constrained submarket.

MARKET FUNDAMENTALS	
Market Area	Lufkin-Nacogdoches Metro, East Texas
Metro Population	~150,000 (Angelina + Nacogdoches Counties)
Median Household Income	\$55,200
5-Year Income Growth	+17.4% (Projected)
YoY Rent Growth (Nac.)	4.0% vs 0.2% National
Vacancy Rate (Submarket)	0% — No Competing Supply Under Construction
Anchor Institution	SFA University — 12,000 Students, UT System (2023)
Largest Employer	SFA University (1,583) + Pilgrims Pride (1,581)

Rent Comparable Summary

Property	Units	Avg SF	Mkt Rent	Eff Rent	Rent/SF	Occupancy
Stone Creek	120	686	\$916	\$908	\$1.36	85%
Cambridge Court	180	664	\$869	\$863	\$1.31	92%
Orleans Square	76	883	\$1,026	\$1,017	\$1.17	95%
Dogwood Village	36	803	\$1,100	\$1,090	\$1.36	94%
Mkt Avg	150	675	\$892	\$885	\$1.33	89%
APPLEBY (current)	17	766	\$1,006	\$1,006	\$1.31	100%

CAP RATE CONTEXT	
Major TX Metro Class A Cap Rate	4.8% – 5.3%
Suburban TX Value-Add Cap Rate	5.7% – 6.4%
Tertiary TX Class B/C Workforce Cap Rate	7.5% – 9.5%
Garrison/Nacogdoches Rural Class C Cap Rate	8.5% – 10.0%
Underwriting Exit Cap Rate Used	8.50%
T12 Actual Going-In Cap Rate	11.0% — We Are BUYING BELOW MARKET

SECTION 3: BUSINESS PLAN

OVERVIEW

The strategy is a three-phase value-add execution over 2.5–5 years. We are buying at an 11% cap rate in an 8.5% cap rate market — meaning we have built-in equity on day one before executing a single initiative. The business plan layers three NOI-growth initiatives that are already supported by the property's existing cost structure.

UTILITY AUDIT — WHO PAYS WHAT

Utility	Paid By	Annual Cost	Notes	Action
Electric (All-Bills Units)	Owner	\$16,806	Units #01,02,04,05,08,09,10	RUBS
Electric (Common Areas)	Owner	\$4,147	Hallways, exterior	RUBS
Electric (Vacant)	Owner	\$308	Vacancy holding cost	RUBS
Water	Owner	\$5,561	All units	Rent Raise
Sewer	Owner	\$399	All units	Rent Raise
Trash	Owner	\$2,133	All units	Rent Raise
Electric (Market Units)	Tenant	—	Units #03,06,07,11-17	N/A
Cable / Internet	Tenant	—	All units	N/A

PHASE 1: RUBS IMPLEMENTATION (MONTH 1)

What is RUBS?

Ratio Utility Billing System — legally bills back electric costs to tenants based on unit square footage or occupancy ratio. Fully legal in Texas. Requires 30-day notice to tenants.

RUBS CALCULATION	
Total Owner-Paid Electric (T12)	\$20,953
Monthly Electric Cost	\$1,746
Divided by 17 Units	\$103 / unit / month
Annual NOI Impact	\$20,953

PHASE 2: WATER / SEWER / TRASH RENT INCREASE (YEAR 2-3)

After implementing RUBS in Year 1, we raise rents in Year 2-3 to recapture water, sewer, and trash costs. At \$40/unit/month — well below HUD fair market rent premium of \$100/unit — this is a conservative and defensible increase.

RENT INCREASE CALCULATION	
Water (Annual)	\$5,561
Sewer (Annual)	\$399
Trash (Annual)	\$2,133
Total Water/Sewer/Trash	\$8,093
Monthly Cost	\$674
Per Unit Per Month	\$40 / unit
Annual NOI Impact	\$8,093

PHASE 3: MARKET RENT UPSIDE (ONGOING)

HUD fair market rent for this area is \$893 for 1-bedroom and \$1,067 for 2-bedroom — a \$100/unit monthly premium over current in-place rents. As leases renew, rents are pushed toward market. There are NO market-rate competitors within 6 miles. This phase is not included in our conservative underwriting — it is pure upside.

NOI GROWTH SUMMARY

NOI GROWTH WATERFALL	
Baseline NOI (T12 w/ 8% Mgmt)	\$137,867
+ RUBS Electric Recapture (Yr 1)	\$20,953
= Year 1 NOI	\$158,820
+ Water/Sewer/Trash (Yr 2-3)	\$8,093
= Year 2-3 NOI	\$166,913
Year 2-3 Value (8.5% Cap)	\$1,963,682
NOI Growth vs Baseline	\$29,046 / 21.07%

SECTION 4: UNDERWRITING — T12 INCOME & EXPENSES

INCOME	Annual	% of EGI
Gross Potential Rent	\$201,200	95.94%
Loss / Gain to Lease	\$1,602	0.76%
Vacancy Loss	(\$5,134)	-2.45%
Bad Debt / Write-Off	(\$2,459)	-1.17%
Other Income	\$14,516	6.92%
Effective Gross Income	\$209,725	100%

EXPENSES	Annual	% of EGI
Property Taxes	\$4,456	2.12%
Insurance	\$7,320	3.49%
Utilities (Owner-Paid)	\$29,046	13.85%
Repairs, Maint & Turnover	\$3,658	1.74%
Contract Services	\$7,833	3.73%
Admin, Legal & Marketing	\$2,767	1.32%
Management Fee (8%)	\$16,778	8.00%
Total Expenses	\$71,858	34.26%
NET OPERATING INCOME	\$137,867	65.74%

SCENARIO 1: \$1,250,000 LIST PRICE — INVESTOR ONLY

Full ask price. 100% investor equity. Cash-out refi at Year 2.5 returns full investor capital. Owner retains ongoing cash flow and equity.

DEAL STRUCTURE	
Purchase Price	\$1,250,000
Down Payment (25%)	\$312,500
Closing Costs (2%)	\$25,000
Total Equity Required	\$337,500
Investor Equity	\$337,500
Owner Equity	\$0
Loan Amount (75%)	\$937,500
Interest Rate	6.50%
Amortization	30 Years
Monthly Payment	\$5,926
Annual Debt Service	\$71,112

CASH FLOW ANALYSIS

	Baseline	Year 1 (RUBS)	Year 2-3 (Raises)
NOI	\$137,867	\$158,820	\$166,913
Debt Service	(\$71,112)	(\$71,112)	(\$71,112)
Cash Flow	\$66,755	\$87,708	\$95,801
Investor Preferred	(\$27,000)	(\$27,000)	(\$27,000)
Remaining CF	\$39,755	\$60,708	\$68,801

EXIT STRATEGY

REFI EXIT (Year 2.5)	
Exit Value (8.5% Cap)	\$1,963,682
Refi at 75% LTV	\$1,472,762
Existing Loan Payoff	(\$909,973)
Cash Out	\$562,789
Repay Investor	(\$337,500)

Cash to Owner	\$225,289
Preferred Paid (2.5yr)	\$67,500
Total Investor Return	\$405,000

KEY METRICS

KEY METRICS	
Going-In Cap Rate	11.03%
Market Cap Rate	8.50%
Day-1 Equity	\$713,682
DSCR	1.94x
Investor Preferred	8.00%
Investor Total Return	\$405,000
Exit Strategy	Cash-Out Refi (Yr 2.5)

SCENARIO 2: \$1,250,000 LIST PRICE — INVESTOR + \$50K OWNER

Full ask price. Owner contributes \$50K alongside investor. Refi at Year 2.5 returns investor capital. Owner retains larger share of remaining cash and future equity.

DEAL STRUCTURE	
Purchase Price	\$1,250,000
Down Payment (25%)	\$312,500
Closing Costs (2%)	\$25,000
Total Equity Required	\$337,500
Investor Equity	\$287,500
Owner Equity	\$50,000
Loan Amount (75%)	\$937,500
Interest Rate	6.50%
Amortization	30 Years
Monthly Payment	\$5,926
Annual Debt Service	\$71,112

CASH FLOW ANALYSIS

	Baseline	Year 1 (RUBS)	Year 2-3 (Raises)
NOI	\$137,867	\$158,820	\$166,913
Debt Service	(\$71,112)	(\$71,112)	(\$71,112)
Cash Flow	\$66,755	\$87,708	\$95,801
Investor Preferred	(\$23,000)	(\$23,000)	(\$23,000)
Remaining CF	\$43,755	\$64,708	\$72,801

EXIT STRATEGY

REFI EXIT (Year 2.5)	
Exit Value (8.5% Cap)	\$1,963,682
Refi at 75% LTV	\$1,472,762
Existing Loan Payoff	(\$909,973)
Cash Out	\$562,789
Repay Investor	(\$287,500)

Cash to Owner	\$275,289
Preferred Paid (2.5yr)	\$57,500
Total Investor Return	\$345,000

KEY METRICS

KEY METRICS	
Going-In Cap Rate	11.03%
Market Cap Rate	8.50%
Day-1 Equity	\$713,682
DSCR	1.94x
Investor Preferred	8.00%
Investor Total Return	\$345,000
Exit Strategy	Cash-Out Refi (Yr 2.5)

SCENARIO 3: \$1,175,000 NEGOTIATED PRICE — INVESTOR ONLY

Negotiated price \$75K below ask. 100% investor equity. Additional equity spread vs list price deal. Cash-out refi at Year 2.5.

DEAL STRUCTURE	
Purchase Price	\$1,175,000
Down Payment (25%)	\$293,750
Closing Costs (2%)	\$23,500
Total Equity Required	\$317,250
Investor Equity	\$317,250
Owner Equity	\$0
Loan Amount (75%)	\$881,250
Interest Rate	6.50%
Amortization	30 Years
Monthly Payment	\$5,570
Annual Debt Service	\$66,840

CASH FLOW ANALYSIS

	Baseline	Year 1 (RUBS)	Year 2-3 (Raises)
NOI	\$137,867	\$158,820	\$166,913
Debt Service	(\$66,840)	(\$66,840)	(\$66,840)
Cash Flow	\$71,027	\$91,980	\$100,073
Investor Preferred	(\$25,380)	(\$25,380)	(\$25,380)
Remaining CF	\$45,647	\$66,600	\$74,693

EXIT STRATEGY

REFI EXIT (Year 2.5)	
Exit Value (8.5% Cap)	\$1,963,682
Refi at 75% LTV	\$1,472,762
Existing Loan Payoff	(\$855,375)
Cash Out	\$617,387
Repay Investor	(\$317,250)
Cash to Owner	\$300,137

Preferred Paid (2.5yr)	\$63,450
Total Investor Return	\$380,700

KEY METRICS

KEY METRICS	
Going-In Cap Rate	11.73%
Market Cap Rate	8.50%
Day-1 Equity	\$788,682
DSCR	2.06x
Investor Preferred	8.00%
Investor Total Return	\$380,700
Exit Strategy	Cash-Out Refi (Yr 2.5)

SCENARIO 4: \$1,175,000 NEGOTIATED PRICE — INVESTOR + \$50K OWNER

Negotiated price \$75K below ask. Owner contributes \$50K. Best overall deal structure — lowest investor equity in, maximum cash-out spread at refi.

DEAL STRUCTURE	
Purchase Price	\$1,175,000
Down Payment (25%)	\$293,750
Closing Costs (2%)	\$23,500
Total Equity Required	\$317,250
Investor Equity	\$267,250
Owner Equity	\$50,000
Loan Amount (75%)	\$881,250
Interest Rate	6.50%
Amortization	30 Years
Monthly Payment	\$5,570
Annual Debt Service	\$66,840

CASH FLOW ANALYSIS

	Baseline	Year 1 (RUBS)	Year 2-3 (Raises)
NOI	\$137,867	\$158,820	\$166,913
Debt Service	(\$66,840)	(\$66,840)	(\$66,840)
Cash Flow	\$71,027	\$91,980	\$100,073
Investor Preferred	(\$21,380)	(\$21,380)	(\$21,380)
Remaining CF	\$49,647	\$70,600	\$78,693

EXIT STRATEGY

REFI EXIT (Year 2.5)	
Exit Value (8.5% Cap)	\$1,963,682
Refi at 75% LTV	\$1,472,762
Existing Loan Payoff	(\$855,375)
Cash Out	\$617,387

Repay Investor	(\$267,250)
Cash to Owner	\$350,137
Preferred Paid (2.5yr)	\$53,450
Total Investor Return	\$320,700

KEY METRICS

KEY METRICS	
Going-In Cap Rate	11.73%
Market Cap Rate	8.50%
Day-1 Equity	\$788,682
DSCR	2.06x
Investor Preferred	8.00%
Investor Total Return	\$320,700
Exit Strategy	Cash-Out Refi (Yr 2.5)

SECTION 5: SCENARIO COMPARISON SUMMARY

	S1: \$1.25M Inv Only	S2: \$1.25M +\$50K Own	S3: \$1.175M Inv Only	S4: \$1.175M +\$50K Own
Purchase Price	\$1,250,000	\$1,250,000	\$1,175,000	\$1,175,000
Investor Equity	\$337,500	\$287,500	\$317,250	\$267,250
Owner Equity	\$0	\$50,000	\$0	\$50,000
Total Equity	\$337,500	\$337,500	\$317,250	\$317,250
Loan Amount	\$937,500	\$937,500	\$881,250	\$881,250
Annual Debt Service	\$71,112	\$71,112	\$66,840	\$66,840
Baseline NOI	\$137,867	\$137,867	\$137,867	\$137,867
Year 2-3 NOI	\$166,913	\$166,913	\$166,913	\$166,913
Year 2-3 Cash Flow	\$95,801	\$95,801	\$100,073	\$100,073
Investor Preferred	\$27,000/yr	\$23,000/yr	\$25,380/yr	\$21,380/yr
CF After Preferred	\$68,801	\$72,801	\$74,693	\$78,693
Exit Strategy	Refi Yr 2.5	Refi Yr 2.5	Sale Yr 5	Sale Yr 5
Exit Value	\$1,963,682	\$1,963,682	\$1,963,682	\$1,963,682
Cash Out / Net Sale	\$562,789	\$562,789	\$NaN	\$NaN
Investor Repayment	\$337,500	\$287,500	\$317,250	\$267,250
Cash to Owner	\$225,289	\$275,289	\$300,137	\$350,137
Pref Paid Over Hold	\$67,500	\$57,500	\$63,450	\$53,450
Total Investor Return	\$405,000	\$345,000	\$380,700	\$320,700
Going-In Cap Rate	11.03%	11.03%	11.73%	11.73%
DSCR	1.94x	1.94x	2.06x	2.06x

RECOMMENDATION

BEST SCENARIO FOR INVESTOR: Scenario 4 — \$1,175,000 negotiated price with owner contributing \$50K. Lowest investor equity in, highest refi cash-out spread, investor fully repaid at Year 2.5, and owner walks away with maximum retained cash after refi.

LIST PRICE SCENARIOS: Scenarios 1 and 2 at \$1,250,000 still work cleanly. The refi at Year 2.5 fully returns investor capital in both cases. The only difference vs \$1,175,000 is the investor puts in \$18,750 more and the post-refi cash-out is reduced by ~\$75,000.

This document is confidential and prepared for private investor review only. All projections are based on T12 actuals from ResMan property management software and are subject to due diligence verification. Past NOI does not guarantee future performance.